NOTES AND INSTRUCTIONS FOR FORM IR56B

1. Employer's Obligations to Complete and Submit Form IR56B

(a) Form IR56B should be completed and submitted for each of the following **persons** to report his/her total income (See Note 3 below) for the relevant year:-

(i) Employees (including labourers, workers etc. whether daily paid or otherwise, and employees who have received remuneration through service company arrangements), whether Hong Kong residents or not, whose total income is in excess of the Basic Allowance of the relevant year of assessment (if employed for less than a year, a proportionately reduced amount). The Basic Allowance of the year of assessment 2025/26 is $132,000. For the prescribed amount for the Basic Allowance of the latest 7 years of assessment, please visit www.ird.gov.hk > Tax Information – Individuals/Businesses > Individuals > Basic & Other Allowances > More on changes in allowances.

(ii) Directors, married persons and part-time employees who were likely to have other income chargeable to Salaries Tax, irrespective of the amount paid and whether they are Hong Kong residents.

(iii) Employees of any non-Hong Kong entity who were assigned or seconded to you for duties in or outside Hong Kong.

(iv) Persons to whom a pension was paid or accrued. In the case of pensioners who have left Hong Kong permanently, only those pensioners whose pension exceeded the Basic Allowance of the relevant year of assessment are required to be reported.

(v) Former employees and former directors who have realized gain by the exercise, assignment or release of any share option previously granted in respect of their former employment with or office in you. If the former employees or former directors did not have any other income chargeable to Salaries Tax during the relevant year, only those whose share option gain realized is in excess of the Basic Allowance of the relevant year of assessment are required to be reported (See Note 9(b) below).

(b) The term 'year' refers to the twelve-month period from 1 April to 31 March. For example, 1 April 2025 to 31 March 2026.

(c) If the Department has issued the Form BIR56A to you but no person falls within the scope of Note 1(a) stated above, please tick the Box 'NO' in the part of the Form BIR56A for declaring the number of Form IR56B reported.

(d) Information on each Form IR56B submitted must be complete and legible.

(e) Form IR56B must be signed by the Proprietor (for sole proprietorship businesses), Precedent Partner (for partnership businesses), Company Secretary / Manager / Director / Provisional Liquidator / Liquidator (for corporations), Investment Manager (only applicable to incorporated open-ended fund companies) or Principal Officer (for bodies of persons). Non-resident persons may appoint agents to act on their behalf.

(f) All the Form(s) IR56B must be signed by the same responsible person signing on the Declaration of the Form BIR56A.

(g) For details about other obligations of an employer, please refer to the pamphlets "Obligations of an Employer", which is available at www.ird.gov.hk > Public Forms and Pamphlets > Pamphlets > Employers.

2. General Matters

(a) You can submit Form IR56B through the Internet by using the Employer's Return e-Filing Services under eTAX. For details, please visit www.ird.gov.hk > Electronics Services > Submission of Employer's Return in Computerized Format.

(b) If you choose to submit Form IR56B in paper form, you may :-

(i) use the printed form provided by the Department;

(ii) download the form at www.ird.gov.hk > Public Forms and Pamphlets > Public Forms > Employers; or obtain the form from the 'Fax-A-Form' Service at 2598 6001. (Form must be printed on white plain A4 size paper.)

(c) **Fill in the H.K. Identity Card No. of the employee at item 3(a).** If the employee is not a H.K. Identity Card holder, provide his / her passport number and place of issue at **item 3(b)**. **Inform the Department in writing once the employee's H.K. Identity Card No. is known**.

(d) Forms IR56B should be sorted in **alphabetical order of employees' names** (surname first and then other name).

(e) **Each sheet of Form IR56B should be numbered starting from "1" onwards.**

(f) The person for whom you have filed a Form IR56B should be provided with a copy of the Form IR56B filed in his/her respect. You should also retain copies of all Form IR56Bs filed by you for reference.

(g) All amounts must be shown in **HK dollars** (excluding cents). You may visit www.ird.gov.hk > Tax Information - Individuals/Businesses > Average Exchange Rates of Major Currencies for Salaries Tax Purposes to check the average exchange rates of major currencies for Salaries Tax purposes.

3. Income to be reported

(a) Salaries Tax is charged on employment income arising in or derived from Hong Kong which includes income derived from services rendered in Hong Kong and remuneration paid to an employee under certain service company arrangements.

(b) For employees assigned or seconded to you, the entire income earned for services rendered during their assignment/secondment should be reported in **item 11**. You should also complete **item 13** if the income was paid by a non-Hong Kong entity in whole or in part.

(c) You should report the **GROSS income of the employees** rather than the net sum after deductions. For example, recoupment from employees in respect of expenses paid by you on their behalf; portions of income considered attributable to services rendered outside Hong Kong, etc. should be included in the gross income.

(d) **Contributions to Recognized Retirement Schemes by employer and employee**

Report the **GROSS income of the employee** before deducting his/her contributions to recognized retirement schemes at **item 11(a)**. Mandatory and voluntary contributions made by employer should **NOT** be reported. For example :-

(i) Monthly salary of employee = $20,000

(ii) Employer's and employee's monthly contributions to a recognized retirement scheme are 8% and 5% respectively. The net monthly sum received by employee = $20,000 − $1,000 (employee's contribution: $20,000 x 5%) = $19,000

(iii) The amount to be reported at **item 11(a)** = $20,000 x 12 months = **$240,000**

(iv) Employer's contributions of $19,200 (=$20,000 x 8% x 12 months) should **NOT** be included in the income reported at **item 11**.

(e) Income received from self-owned or spouse-owned unincorporated businesses (i.e. sole proprietorship or partnership businesses) is not chargeable to Salaries Tax and thus **NO** Form IR56B should be filed regarding such income.

(f) **NO** Form IR56B should be filed regarding remuneration paid to persons other than those mentioned in Note 1(a) above. Service payments made to **local unincorporated entities** (including individuals, sole-proprietorship businesses, partnerships and unincorporated bodies of persons) should be reported by filing Form IR56M. To report service payments made to non-residents, please file Form IR623/IR623P, as appropriate.

4. Item 11(*d*) Commission / Fees

Commission and fees are to be reported as income for the year in which the employees became entitled to claim payment.

5. Item 11(*e*) Bonus

Bonuses are to be reported as income for the year in which the employees became entitled to claim payment. If the employee became entitled to claim a bonus during a particular year under the terms of employment, the amount of bonus should be reported as income for that year irrespective of when the payments were made. If the date on which the employees became entitled to claim payment is not certain, the bonus should be reported as income for the year in which actual payments were made.

6. Item 11(*f*) Back Pay, Payment in Lieu of Notice, Terminal Awards or Gratuities

(a) The following sums should be reported as income for the year in which they were accrued or paid to the employees under this item:-

(i) Lump sum payments or gratuities paid upon retirement or termination of any office or employment or any contract of employment;

(ii) Payment in lieu of notice, whether paid under the term of an employment contract or the Employment Ordinance; and

(iii) Deferred pay or arrears of pay resulting from a salaries or wages award.

(b) Statutory severance payment or long service payment made in accordance with the Employment Ordinance should NOT be included under this item. Only the amount paid in excess of the statutory amount is to be reported. For more details on employers' reporting obligations for severance payment or long service payment made to employees, please refer to www.ird.gov.hk > Tax Information - Individuals/Businesses > Employers > What you need to know as an employer - Employer's Obligations - Severance Payment / Long Service Payment.

(Note: For employees ceased to be employed during the reporting year, **Form IR56Fs** (instead of Form IR56Bs) should be filed not later than 1 month before the date of cessation. You may file **Form IR56F** electronically using the Employer's Return e-Filing Services under eTAX (www.ird.gov.hk > Electronics Services > Submission of Employer's Return in Computerized Format). Paper Form IR56F can be downloaded from IRD's website (www.ird.gov.hk > Public Forms and Pamphlets > Public Forms > Employers) or obtained through the 'Fax-A-Form' Service at 2598 6001 (select the language and press keys (3)(2)(3)).)

7. Item 11(*g*) Certain Payments from Retirement Schemes

(a) **Occupational Retirement Scheme**

The following payments from occupational retirement scheme should be reported under this item:-

(i) Unrecognized scheme : so much of any amount received as is attributable to the **employer's contributions**.

(ii) Recognized scheme **(ORSO Scheme)**: so much of any amount as is attributable to the **employer's contributions** received:

- by reason **other than** termination of service, death, incapacity, terminal illness or retirement; or
- in case of termination of service, in excess of the proportionate benefit as defined in section 8(4) and (5) of the Inland Revenue Ordinance.

(iii) Any payment received pursuant to a judgment given under section 57(3)(b) of the Occupational Retirement Schemes Ordinance that is attributable to the employer's contributions. The aforesaid payment is awarded by the court in respect of the shortfall between the employee's vested benefits and the amount received by him / her upon the winding up of the scheme.

(b) **Mandatory Provident Fund Scheme (MPF Scheme)**

The following payments from MPF Scheme should be reported under this item:-

(i) so much of any amount as is attributable to the **employer's voluntary contributions** received by reason **other than** termination of service, death, incapacity, terminal illness or retirement ; or

(ii) in case of termination of service, so much of any amount as is attributable to the **employer's voluntary contributions** received (or taken to have been received#) in excess of the proportionate benefit as defined in section 8(4) and (5) of the Inland Revenue Ordinance.

Upon termination of service, if the employee chooses to retain his/her accrued benefits as is attributable to the employer's **voluntary** contributions within the MPF Scheme or transfer them to another MPF Scheme, section 8(9) of the Inland Revenue Ordinance deems the employee to have received the accrued benefits at the date of termination of service. Accordingly, the proportionate benefit rule needs to be considered and the excess amount should be reported.

(c) **Proportionate Benefit Rule**

(i) The proportionate benefit rule is used to determine the amount received (or is taken to have been received) upon termination of service by employees from an ORSO/MPF Scheme that can be exempt from Salaries Tax. According to the rule, the amount received (or taken to have been received) from an ORSO/MPF Scheme upon termination of service in respect of the employer's contributions is exempt to the following extent:

$$\text{Accrued benefit* under the scheme} \times \frac{\text{completed months of service}}{120}$$

* Accrued benefit is equal to the employer's contributions (for ORSO Schemes) or employer's voluntary contributions (for MPF Schemes), plus the investment return attributable to the relevant contributions.

For example, where the accrued benefit attributable to employer's contribution or employer's voluntary contribution received by an employee is $100,000 and the number of completed months of service is 72.

- The proportionate benefit would be: $100,000 x 72/120 = $60,000
- The amount in excess of the proportionate benefit to be reported at **item 11(g)** would be: $40,000 (=$100,000 – $60,000)

(ii) In relation to the proportionate benefit rule, it is the length of service with the employer and not the length of scheme membership that is taken into account in the calculation of the benefit.

(iii) If you are not chargeable to Profits Tax, section 8(7) of the Inland Revenue Ordinance provides a further restriction on the amount received (or is taken to have been received) by your employees from an ORSO/MPF scheme that can be exempt from Salaries Tax. For details please refer to paragraphs 51 and 52 of the Departmental Interpretation and Practice Notes No. 23 "Recognized Retirement Schemes" at www.ird.gov.hk > Publications and Press Releases > Departmental Interpretation and Practice Notes.

8. Item 11(*i*) Education Benefits

Education benefits are any amounts paid by an employer in connection with the education of an employee's child / children.

9. Item 11(*j*) Gain realized under Share Option Scheme

(a) Gains realized by an employee or a director (including a former employee/director) by **exercising, assigning or releasing** any share option granted by you or by any other corporation in respect of his / her employment with or office in you are to be reported as income for the year in which the relevant share option was exercised, assigned or released. "Share option gain" is calculated in accordance with section 9(4) of the Inland Revenue Ordinance.

(b) To report share option gain realized by **a former employee/director** during the reporting year, take the date of transaction as both the start date and end date at **item 10** if only one exercise, assignment or release transaction was involved. If more than one transaction were involved, take the date of the first transaction as the start date and the date of the last transaction as the end date at **item 10**.

(c) If, during the reporting year, share options in respect of the employment with or office in you were granted to your employees/directors or exercised by your former employees/directors, provide the following information on separate paper:

(i) For your **former employees/directors** who had **realized share option** gains, a list showing the name of the former employees/directors involved, their HKIC no. / passport no. and the sheet number(s) of the Form IR56B filed in their respect for the year.

(ii) For your employees/directors who had been **granted** share option(s), provide a list showing the name of the employee/director involved, their HKIC no. / passport no and the terms of the option granted (including the name of the underlying shares, vesting period and the number of shares involved in the options).

10. Item 11(*k*) Any other Rewards, Allowances or Perquisites

The amounts to be reported under this item includes the following benefits :-

(a) Perquisites in cash or of such a nature that either they may be converted into cash or are money's worth. Examples are motor car as a gift, award of shares, etc.;

(b) Cash allowances for food, travelling, servants, housing, cost of living, etc.;

(c) "Dim Yung" commission;

(d) Payment or reimbursement by you of personal expenses contracted and incurred by the employee;

(e) Tips, including sums known by you to have been received by the employee from other persons;

(f) Amounts paid by you for holiday journey benefits enjoyed by the employee or his/her family members; and

(g) Carried interest accrued to the qualifying employee. Qualifying person/ you should submit in respect of each qualifying employee the Form IR56B together with the Notification of Accrual of Carried Interest for Claiming Salaries Tax Concessions (Form IR6177), if applicable. For details, please read Notes and Instructions in the Form IR6177.

11. Item 11(*l*) Pensions

Any pensions paid by you should be reported under this item.

12. Item 12 Place of Residence provided

(a) A place of residence provided includes places where all or part of the rent paid by employees has been refunded, and details must be shown on whether the place was provided by you or an associated corporation. For the purposes of this note, the term "associated corporation" means a corporation over which you have control or if you are a corporation, a corporation which has control over you or a corporation which is under the control of the same person as you. Control means the power of a person, either by means of holding shares or by means of powers granted, to conduct the affairs of the corporation in accordance with his / her wishes.

(b) Where two or more employees shared the place of residence provided, please include a note to that effect at **item 14** of Form IR56B.

(c) If more than two places of residence were provided, please supply the details in the same format on separate paper.

(d) For details on how housing benefit would be assessed under Salaries Tax, please refer to the pamphlet titled "How to tax the provision of a place of residence to the employee" at www.ird.gov.hk > Public Forms and Pamphlets > Pamphlets > Salaries Tax & Personal Assessment.

13. Item 13 Payment by a non-Hong Kong entity

The amount to be reported is the amount paid by the non-Hong Kong entity. However, this sum **MUST** also be included at **item 11** of Form IR56B (See Note 3(a) above).

14. Further Information

(a) Specimens of completed Form BIR56A and Form IR56B can be viewed at www.ird.gov.hk > Tax Information - Individuals/Businesses > Employers > Completing and submitting your employer's return and notification forms, or obtained through the 'Fax-A-Form' Service at 2598 6001 (select the language and press keys (3) (7));

(b) For further information or assistance, you may:-

(i) visit www.ird.gov.hk > Tax Information - Individuals/Businesses > Employers;

(ii) write (G.P.O. Box 132 Hong Kong) or fax (2877 1232) to the Assessor, quoting your file number and contact telephone number;

(iii) telephone 187 8022; or call at the Central Enquiry Counter on G/F of the Inland Revenue Centre, 5 Concorde Road, Kai Tak, Kowloon, Hong Kong.